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ICEBREAKER The US and China recently reached a trade agreement that temporarily reduced tariffs. US tariffs on Chinese goods were lowered from 145% to 30%, while China cut its tariffs on US goods from 125% to 10%

as the country continues to focus on strengthening its competitiveness through consistent reforms and proactive steps.

While the agreement marks a de-escalation in tensions between the two major economies, officials note that tariffs remain significantly high on both sides. This, they believe, presents an opportunity for India, not just in terms of benefiting from tariff shifts, but also by positioning itself as a competitive manufacturing hub.

However, trade experts remain divided on the actual impact of the deal on India. Some believe it opens up opportunities in sectors like pharmaceutical application programming interfaces (APIs), gems and jewellery, engineering goods, organic chemicals, and IT-enabled

services. Others caution that the easing of US-China tensions might prompt global investors and companies, who had shifted operations

MANY GLOBAL MANUFACTURING COMPANIES ARE LOOKING TO DIVERSIFY THEIR SUPPLY CHAINS BEYOND CHINA, POSITIONING INDIA AS A VIABLE ALTERNATIVE MANUFACTURING DESTINATION

to India, Vietnam and Mexico, to reconsider moving back to China, as some normalcy returns

While India is yet to broker a deal, Trump recently said that India is prepared to eliminate all tariffs on goods from the US, and a deal between New Delhi and Washington is on the horizon. Trump earlier termed India as “one of the highest tariff nations in the world.”

India has been trying to finalise the bilateral trade agreement (BTA) with the US ahead of the 90-day tariff pause that ends on July 9. Commerce and Industry Minister Piyush Goyal, along with Indian officials, visited the US to discuss the trade deal with their US counterparts. It has to be seen how soon India clinches it. **BT**

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